INVESTING IDEA 1 – ROCKET LAB

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INDUSTRY OVERVIEW

Rocket Lab: Growing Space Economy

- Rapid Satellite Deployment
- End-to-End Space Solutions
- Nanosatellite Constellation Support

COMPANY OVERVIEW

Rocket Lab

- Founded: 2006
- CEO: Peter Beck
- Core Focus: Space Infrastructure

BUSINESS MODEL

- **Launch services** (Electron rocket)

- **Space systems**:

  Satellite components

  Manufacturing

- **End-to-end space solutions**

- **Revenue from**:

  Launch contracts

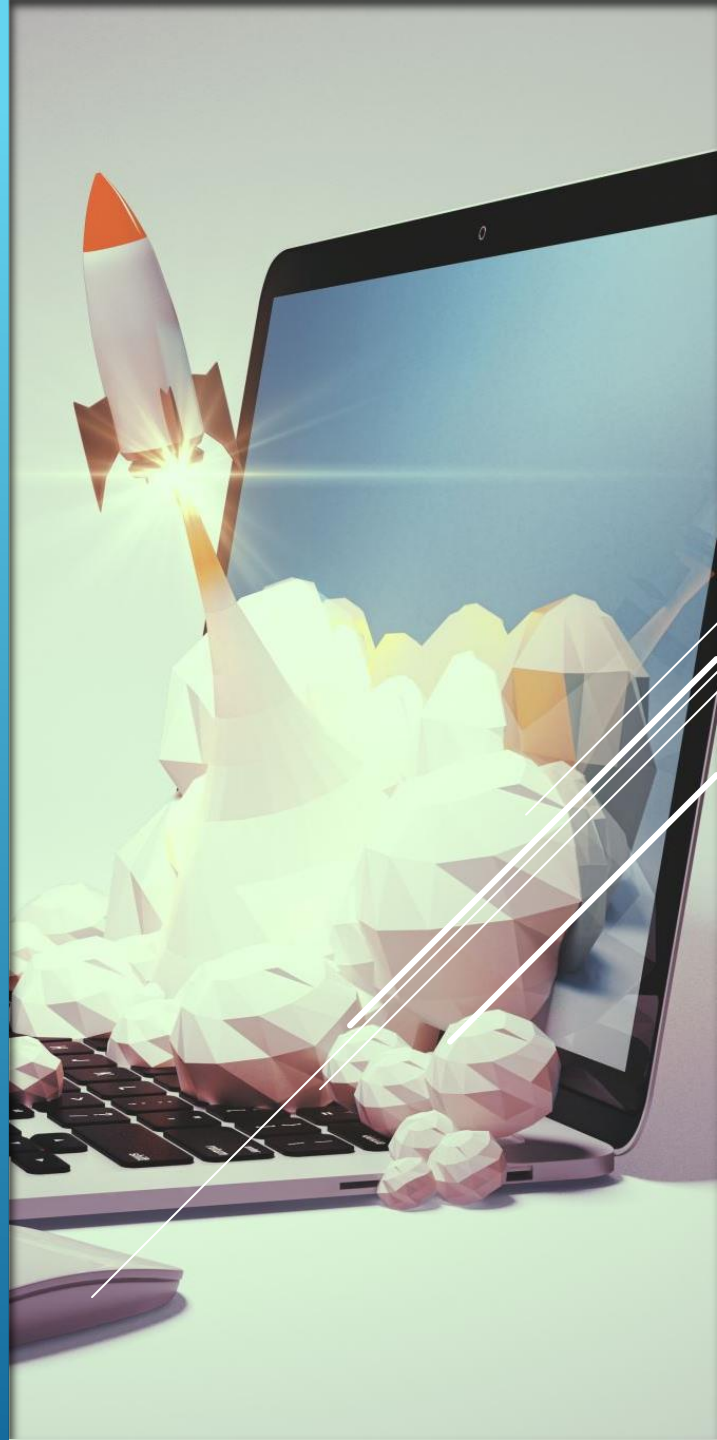
  Government & commercial clients

GROWTH DRIVERS

- Rising demand for **small satellites**
- Growth in **space-based services** (communication, data)
- High launch frequency & reliability
- Development of **Neutron rocket (reusable, larger payloads)**
- Government contracts (NASA, defense)

- Rocket Lab: 25%+ growth, expansion phase
- Company is in expansion phase
- High spending on R&D and new rockets like Neutron
- Focus on future growth, not current profit.
- Increasing demand for launch services & satellites.

FINANCIAL PERFORMANCE



KEY RATIOS

P/E Ratio (Price to Earnings) P/E Ratio: around -189 to -192 Reason: Company is not profitable (negative earnings)

P/S Ratio (Price to Sales)~63–68
Meaning: Investors are paying very high price for its sales

P/B Ratio (Price to Book)P/B Ratio: ~22
Meaning: Stock is trading much higher than its asset value

EV/Sales Ratio EV/Sales: ~60+
Meaning: Company valuation is very high compared to revenue

Debt to Equity Ratio Debt/Equity: ~0.15 (low debt)
"Rocket Lab has low debt, which is a positive sign."

Cash Flow Ratios

P/FCF: Negative (~-117) Meaning:
Company is burning cash due to heavy investment

COMPETITIVE ADVANTAGE

- Focus on **small satellite niche**
- High launch frequency & reliability
- Cost-efficient launches
- Vertical integration (launch + satellite systems)
- Innovation in **reusability (Neutron rocket)**

KEY RISKS

- **High Capital Expenditure**
  Rocket Lab has to spend a lot of money to build rockets and carry out launches, which can strain its finances
- **Launch Failure Risk**
  If something goes wrong during a launch, it can cause big financial losses and damage the company's reputation
- **Dependence on Contracts**
  The company depends heavily on government and business contracts, so losing a few major deals can affect its revenue
- **Market Uncertainty**

The space industry is still growing, so future demand isn't always certain

CONCLUSION

- Strong **25%+ growth**, operating in expansion phase
- Increasing demand for **small satellite launches**
- **End-to-end space solutions** (launch + manufacturing)
- Investment in **Neutron rocket (future scalability)**
- **Not yet profitable** due to high R&D spending
- **Higher risk** (capital intensive, launch failure, contract dependence)
- Suitable for **high-risk, high-reward investors**